

Project #1 - Industry / Company Analysis

Sportswear industry - Nike inc. (NKE)

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The industry I chose is the sports industry. It's an industry that has been growing and evolving in the last few years, especially with the entry of new brands which have expanded the market. The largest companies are fighting for market share with innovation, new technologies, branding, endorsements, and direct-to-consumer sales strategies. These improvements will determine the success of each company in this industry. A high demand for high-performance gear, the rise of athleisure fashion, and the expansion into new markets drives this industry.

The industry is made of several companies and is composed of a few major industry players. Nike is the market leader, followed by Adidas with a strong presence in Europe, Lululemon who gained ground in premium sports apparel, Puma who is an important brand in soccer and Under Armor who is strong in performance gear. Each brand has its own market, customer target, and strengths. While Nike is the leader, other brands are also important, and won in popularity over the last few years.

However, a few risks can impact this industry. Like seen before, a pandemic can impact a sportswear company, as people won't be able to play sports anymore and won't be buying gear. Also, most of these brands rely on endorsements, and if an athlete gets into a controversy, it can deeply hurt the sales and revenues. Even though most of these brands focus on performance with their products, there are fashion trends that change all the time, and they need to be aware of that. There's also other brands like Hoka or Lululemon that remain small but keep getting bigger and get a larger share of the market. The last risk is that this industry represents an oligopoly, which means that a few dominant brands control the majority of the market.

In the last 5 years, the industry has seen constant growth, driven by an increased focus on health and fitness, the rise of athleisure fashion, the

growth of e-commerce and direct-to-consumer sales, and the expansion into emerging markets like China and India. All of these factors will keep making this industry more and more important over time. The digital transformation includes online sales, such as Nike's SNKRS app, and the expansion in international markets. Most of the brands starting to focus on sustainability and taking care about the environment will make the sportswear industry bigger. There are still some potential risks such as supply chain disruptions during a pandemic, inflation, and competition. While this industry is dominated by a few players, there are also a few smaller brands attempting to get a piece of the market share.

For this analysis, I choose to use the industry's leader: Nike. Nike's market cap is 109B with an annual growth in revenue of 7.54% on average, and is always increasing (except in 2020 due to covid). Even though the price of the stock decreased, the dividend per share went from \$0.88 in 2019, to \$1.48 in 2024 which signals financial strength. Nike's earnings per share serves as a key profitability measure. In 2019, the EPS was \$4.5 and is now \$6.05, with a net income of approximately \$5.7 billion. With an average dividend payout ratio of 24.48% over the past six years. This shows that Nike retains most of its earnings for reinvestment while maintaining a dividend for shareholders.

They generate revenue primarily from footwear, which represents 68% of revenue. It's Nike's best selling segment, led by Air Jordan which by itself, represents 13% of Nike total revenue. Then comes apparel with 28% of revenue, it's any sportswear, jerseys, and athleisure product. The last 4% of revenue are the equipment, accessories and sporting goods. By securing endorsements from athletes such as LeBron James and Cristiano Ronaldo, they make a lot of products related to them, which generates a lot of revenue.

Nike's stock price has experienced fluctuations and volatility in recent years. In 2019, the stock traded around \$101 per share and saw a significant increase in 2020, reaching approximately \$141.47. The stock peaked in 2021, reaching an all time high at \$170 before declining in 2022 to \$115.32 due to macroeconomic pressures, including inflation and interest rate hikes. It rebounded slightly to \$123.45 in 2023 but dropped again to \$75.67 in 2024. Compared to the Dow Jones Industrial Average, which grew from 28,538 in 2019 to 42,544 in 2024, Nike's stock performance has been more volatile. The company has a beta of approximately 1.02, and indicates a slightly higher volatility than the Dow. Nike's stock outperformed

the Dow in 2019-20 but since 2022, the stock has been going down while the market kept going up. Since 2019, Nike has lost 25% of its market value while the Dow won almost 50%.

The sports apparel and footwear industry is expected to continue growing. One major factor contributing to this growth is the expansion of direct-to-consumer sales, which allows companies to increase profit margins. Additionally, companies are investing in sustainability initiatives, such as using recycled materials and eco-friendly production, after a higher demand for it from the customers. Nike's growth is also supported by digital transformation, like e-commerce platforms and NFT product launches.

Based on my analysis, the sports and footwear industry presents a good opportunity for an investment. Even though most of the companies heavily depend on marketing and branding, and there might be some risks related to inflation or other competitors, the overall remains positive. It's an industry that I would invest in because the demand from customers is strong and will remain like that in the future as growth in this industry is expected. Also, e-commerce and digital sales are growing as well, which advantages these companies. This industry is also supported by popularity of fitness, digital transformation, and sustainability initiatives.

Nike can be the best company in this industry to invest in because their ability to innovate and adapt to market trends has allowed them to maintain their position as the market leader, and I don't see any other brand taking their spot as a leader in the next few years. They also have a really strong brand loyalty, consistent revenue and profit growth and their digital transformation is taking place, and the direct to consumer strategy improves margins. The dividend that keeps increasing over time is also attractive to long-term investors. The stock price might be high and a bit overvalued when being compared to earnings, but I think it's still worth the investment.

Exhibit

	2019	2020	2021	2022	2023	2024
Revenue (M)	\$39,117	\$37,403	\$44,538	\$46,710	\$51,217	\$51,400
Net Income after taxes (M)	\$4,029	\$2,593	\$5,727	\$6,046	\$5,070	\$5,700
Net Income/Revenue	10.30%	6.93%	12.86%	12.94%	9.90%	11.09%
Dividend (per share)	\$0.88	\$0.98	\$1.10	\$1.22	\$1.36	\$1.48
Common share price (end of period)	\$101.15	\$141.47	\$166.67	\$115.32	\$123.45	\$75.67
Annual growth (%)		39.86%	17.81%	-30.81%	7.05%	-38.70%
Aggregate period growth (%)	-25.19%					
Revenue Growth (%)		-4.38%	19.08%	4.88%	9.65%	0.36%
Aggregate period growth (%)	31.40%					
Net Income Growth		-35.64%	120.86%	5.57%	-16.14%	12.43%
Aggregate period growth	41.47%					
Current Beta	1.02					
Current Stock Price (Market Close 03/10/25)	\$76.38					
DJIA	\$28,538	\$30,606	\$36,338	\$33,147	\$37,690	\$42,544
Annual Growth (%)		7.25%	18.73%	-8.78%	13.71%	12.88%
Aggregate Period Growth (%)	49.08%					

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